Hercules Insurance Co Limited v Trivedi & Co Limited

[1962] 1 EA 358 (CAD)

Division:	Court of Appeal at Dar-Es-Salaam
Date of judgment:	7 June 1962
Case Number:	12/1962
Before:	Sir Ronald Sinclair P, Sir Alastair Forbes VP and Crawshaw JA
Sourced by:	LawAfrica
Appeal from:	H.M. High Court of Tanganyika – Law, J.

[1] Insurance – Arbitration – Insurance policy containing arbitration clause – Application for arbitration – Denial that policy in force – Whether arbitration can be ordered – Rectification of policy – Indian Code of Civil Procedure, 1908, *Second Schedule*, *para.* 17 – *Arbitration Act*, 1889, *s.* 4 – *Arbitration Act*, 1950, *s.* 4 (1) – *Indian Contract Act*, 1872, *s.* 28.
[2] Arbitration – Insurance – Insurance policy containing arbitration clause – Application for arbitration – Denial that policy in force – Whether arbitration can be ordered – Rectification of policy – Indian Code of Civil Procedure, 1908, *Schedule II*, *para.* 17 – *Arbitration Act*, 1889, *s.* 4 – *Arbitration Act*, 1950, *s.* 4 (1) – *Indian Contract Act*, 1872, *s.* 28.

Editor's Summary
The respondent company having submitted to the appellant company a proposal form for insurance against burglary to cover part of its stock-in-trade received a letter from the appellant company on January 14, 1959, refusing to insure part of the stock only but offering a policy covering the entire stock. The respondent company accepted this offer by letter dated February 13, 1959, whereupon the appellant company issued a burglary policy dated February 17 at 4 p.m. standard time. However on February 16 the respondent company's premises having been burgled and goods to the value of over Shs. 5,000/- stolen, the respondent company by letter dated February 17 notified the appellant company which replied declining to recognise the claim on the ground that they

were not "on risk" at the time. Pursuant to a clause in the policy providing for arbitration the respondent company then applied in the district court for a written arbitration agreement between the parties to be filed in court. This application was dismissed on the ground that the respondent company had not satisfied the court that a contract of insurance was in force at the material time. On appeal the High Court reversed the magistrate's decision and ordered that the agreement be filed with consequential orders as to the appointment of an arbitrator and the issue he should decide. The appellant company then appealed and submitted that since no contract of insurance was in force at the material time, the arbitration clause could not apply. For the respondent company it was argued that their letter of February 13 put the appellant company on risk either as from the date of the original proposal or from the date of posting the letter of February 13.

Held – the claim made by the respondent company was not a claim under the contractual document, namely, the policy, but was a claim under the preliminary contract between the parties for insurance; the real dispute between the parties was, therefore, one of rectification depending upon the existence of the alleged preliminary contract and the arbitration clause in the policy did not extend to a dispute as to rectification of the term of the policy.
Toller v. Law Accident Insurance Society Ltd., [1936] 2 All E.R. 952 followed.
Appeal allowed. Judgment and decree of the High Court set aside and decree of the district court restored.

Cases referred to in judgment:

(1) *Heyman v. Darwins Ltd.*, [1942] A.C. 356; [1942] 1 All E.R. 337.
(2) *Re Phoenix Trading Co. Ltd. 's Application*, [1958] 1 All E.R. 815.
(3) *British Equitable Assurance Co. Ltd. v. Baily*, [1906] A.C. 35.
(4) *Griffiths v. Fleming*, [1909] 1 K.B. 805.
(5) *Sun Life Assurance Co. of Canada v. Jervis*, [1943] 2 All E.R. 425.

(6) *Wood v. Dwarris* (1856), 11 Exch. 493; 156 E.R. 925.
(7) *Toller v. Law Accident Insurance Society Ltd.*, [1936] 2 All E.R. 952.

The following judgments were read by direction of the court:

Judgment

Sir Alastair Forbes VP: This is a second appeal, and is against a judgment and decree of the High Court of Tanganyika which set aside a decision of the district court at Tabora. The appellant company, to which I will refer as "the insurance company", was the original defendant, and was the respondent on the first appeal. It is an insurance company carrying on business in East Africa. The respondent company, to which I will refer as "the assured", is a limited liability company carrying on business in Tabora. On November 3, 1960, the assured filed an application in the district court at Tabora under r. 17 of the Second Schedule of the Indian Code of Civil Procedure (which applies in Tanganyika and which I will refer to as "the Second Schedule") for a written arbitration agreement between it and the insurance company to be filed in court. On June 21, 1961, this application was dismissed with costs. On appeal to the High Court it was decreed that:

"1. the appeal be and is hereby allowed.
2. the respondent do pay to the appellant Shs. 1,048/50 being the taxed costs of this appeal.
3. the order awarding costs to the respondent in the court below be set aside and each party do bear his own costs in the court below.

4. Original record of Tabora Civil Case No. 210 of 1960 be returned to the district court at Tabora with the following directions:
(1) To file the agreement to refer to arbitration.
(2) To appoint an arbitrator if the parties do not appoint one in accordance with the agreement.
(3) To make an order of reference to the arbitrator to decide whether the respondent insurance company was 'on risk' in respect of the losses suffered by the appellant by reason of burglary of February 16, 1959, and if so, to determine the amount of such loss."

The insurance company now appeals against this decision.

I take the following statement of facts from the judgment of the learned judge of the High Court, the insurance company being referred to as the respondent, and the assured as the appellant:

"The appellant, being desirous of taking out a policy of burglary insurance covering part of its stock-in-trade, completed on January 3, 1959, a proposal form issued by the respondent requesting cover for part only of the said stock (exhibit 3). The respondent by its letter dated January 14 (annexure 'A' to the application) replied that it would not issue a policy covering part only of the stock, but it offered to issue a policy covering the whole stock at what was described as 'the very low rate of 7 sh. 50 cts.' per centum. By a letter dated February 13 (annexure 'B' to the application) the appellant wrote to the respondent as follows:

'With reference to your letter of January 14. . . we accept the offer sent by your head office and hereby request you to cover the whole stock against burglary. Thanking you for offering such a low rate, we remain, etc.'

On receipt of this letter in Nairobi the respondent issued a policy covering the appellant's stock to the value of Shs. 250,000/- in consideration of the payment of a sum of 937 Shs. 50 cts. acknowledged to have been paid by the appellant. The policy is dated February 17 at 4 p.m. standard time.

"On February 16 the appellant's shop was burgled and goods to the value of between Shs. 5,000/- and Shs. 6,000/- stolen.

"As appears from the agreed bundle of correspondence produced in the court below, the appellant notified the respondent of the burglary by letter dated February 19, and asked for information as to how to present a claim. The respondent replied by letter dated February 25 saying, inter alia –

'Your letter of the 13th instant was received by us on the afternoon of the 17th instant and immediately our cover note was issued, commencing the insurance as from 17.2.59 to 17.2.60.

'There was no indication in your letter as to the commencing date of insurance and in absence of any specific advices from you the insurance was covered by us from the date of the receipt of your said letter. You will thus appreciate that the company was not on risk prior to the receipt of your letter, i.e. until 17th afternoon.

'In view of the above we regret to inform you that your claim is not admissible and the company cannot accept any liability whatsoever.'

"From this moment a dispute arose between the parties as to whether or not the respondent was 'on risk' at the time of the burglary on February 16. The appellant's contention is that his letter of February 13 had the effect

of putting the defendant 'on risk' as from the date of the original proposal (January 3), alternatively that a binding contract of insurance came into existence at the moment of posting the letter dated February 13, accepting the terms offered in the respondent's letter of January 14. (Section 4 of the Indian Contract Act.) The respondent's contention is, and always has been, that no contract of insurance came into existence until 4 p.m. on February 17, when the policy was issued.

"By cl. 15 of the policy –

'All differences arising out of this policy shall be referred to the decision of an arbitrator to be appointed by the parties in difference or if they cannot agree upon a single arbitrator to the decision of two arbitrators, one to be appointed in writing by both of the parties, or in the case of disagreement between the arbitrators to an umpire (such umpire to be appointed in writing by the arbitrators before entering on the reference) and unless and until an award has been made the company shall not be liable for any loss or damage and such award shall be a condition precedent to any liability of the company or any right of action against the company.'

"Correspondence followed between the parties and on January 11, 1960, the appellant invoked the arbitration clause in the policy and suggested the name of an arbitrator. The respondent by letter dated February 16 refused to submit the dispute to arbitration, maintaining that the policy was not issued until February 17, 1959, and that it did not apply to any loss which occurred before that date."

When the matter came before the learned resident magistrate the following issues were agreed:

"1. Whether there was a contract of insurance in existence as a result of the letters 'A' and 'B' annexed to the plaint.

"2. If the answer is in the affirmative, is the present application barred by conditions 2 and 16 in the policy."

Conditions 2 and 16 of the policy referred to in the second of the agreed issues prescribes special periods of limitation for claims under the policy. Condition 2, as was conceded before us, has no application on the facts of the instant case. Condition 16 reads:

"16. In no case whatsoever shall the company be liable for any loss or damage after the expiration of twelve months from the happening of the loss or damage unless the claim is the subject of pending action or arbitration."

The learned resident magistrate, in view of his decision on the first issue, did not deal with the second issue. On the first issue the learned resident magistrate said:

"I am quite unable to say therefore whether there is a contract in existence or not. From this it follows that I am not prepared to order under para. 15 of the policy that the matter be referred to arbitration as the plaintiff company have not discharged the onus on them of satisfying me prima facie that the contract was in fact in existence at the material time. The burden of showing cause why it should not be filed which would clearly have been on the defendant company does not therefore arise. The application of the plaintiff company is dismissed with costs."

On the appeal to the High Court, the learned judge considered the authorities

to which he had been referred, in particular *Heyman v. Darwins Ltd*. (1), [1942] A.C. 356, and said:

"After careful consideration of the authorities quoted and arguments addressed to me, I have come to the conclusion that this appeal must be allowed. There can be no dispute that the proposal of January 3, 1959, the letters of January 14 and February 13 and the policy issued on February 17 resulted in a binding contract of insurance being made between the parties, and that that contract included an arbitration agreement, and that a difference arose between the parties as to whether the respondent insurance company was 'on risk' on the day of the burglary. This being so, the court below was bound by the mandatory provision of sub-para. (4) of para. 17 of the Second Schedule to order the agreement to be filed and to make an order of reference, unless the respondent could show 'sufficient cause' why the agreement should not be filed. The respondent did not in fact show sufficient cause, which expression I consider to be synonymous with the expression 'sufficient reason' which appears in s. 4 of the Arbitration Acts, 1889, and 1950, of the United Kingdom. Lord Macmillan gave examples of what would constitute sufficient reason in his speech in *Heyman's* case (supra), and instanced a dispute as to whether there had ever been a contract, or any ground relied upon to set aside a contract, such as fraud, duress or essential error. In Chitaley and Rao's Commentary on the Code of Civil Procedure (2nd Edn.), Vol. III, the following appears on p. 3039 under item 9 of the notes on para. 17 of the Second Schedule –

'All grounds on which a contract will be voidable such as fraud, misrepresentation, etc. which will enable a party to avoid a contract or which render a contract unenforceable against a party will constitute "sufficient cause" against filing the agreement under this paragraph. Thus where the agreement to refer is shown to be vitiated by fraud or mistake or by misrepresentation or is not consented to by all the parties, the court will decline to file the agreement.'

"The respondent does not pretend that there was no agreement to refer to arbitration, or that it was voidable or unenforceable or vitiated by fraud or misrepresentation. The respondent's case is that the agreement did not come into existence until February 17, and that the respondent is not accordingly liable to indemnify the appellant for the losses suffered in the burglary which occurred on February 16. These are matters which are in difference between the parties, and which the parties contractually agreed should be decided by arbitration. I have already quoted what Lord Macmillan said in *Heyman's* case (supra) –

'If a question arises whether the contract has for any such reason come to an end I can see no reason why the arbitrator should not decide that question.'

"By the same token, I do not see why the arbitrator should not decide the question whether the contract had come into existence on a particular day. Certainly I have been unable to find any authority for the proposition that where an insurance company admits the contract, and the agreement to refer to arbitration, but does not admit that the contract was in force on a particular date, that this can amount to sufficient cause for rejecting an application to file the agreement to refer to arbitration.

"I believe that the learned resident magistrate was to some extent misled by the issues which were agreed before him by the advocates for both sides. He was invited in the second issue to deal with matters which did not fall to be considered by him, but which the parties had agreed to refer to

arbitration. The first issue was too narrowly worded, as the existence of a contract of insurance did not depend solely on the letters, annexures 'A' and 'B' to the application, but also on the proposal (to which the letters referred) and the policy which resulted from the proposal as affected by those letters. The true issues were, in my opinion –

1. Is there in existence between the parties an agreement to refer to arbitration?
2. Have differences arisen out of the agreement?
3. Has sufficient cause been shown why the agreement should not be filed?

"The answers to these issues are 'yes', 'yes', and 'no' respectively, with the consequence (which I have already indicated) that this appeal succeeds and is allowed, with costs."

I may say here that I respectfully agree with the learned judge when he says that he considers the expression "sufficient cause" in para. 17 of the Second Schedule to be synonymous with the expression "sufficient reason" in s. 4 of the Arbitration Act, 1889. The relevant English authorities relate to applications for a stay under s. 4 of the Arbitration Act, 1889 (now s. 4 (1) of the Arbitration Act, 1950). That section reads:

"4. If any party to a submission, or any person claiming through or under him, commences any legal proceedings in any court against any other party to the submission, or any person claiming through or under him in respect of any matter agreed to be referred, any party to such legal proceedings may at any time after appearance, and before delivering any pleadings or taking any other steps in the proceedings, apply to that court to stay the proceedings, and that court or a judge thereof if satisfied that there is no sufficient reason why the matter should not be referred in accordance with the submission, and that the applicant was, at the time when the proceedings were commenced, and still remains, ready and willing to do all things necessary to the proper conduct of the arbitration, may make an order staying the proceedings."

Paragraph 17 of the Second Schedule (omitting sub-para. (2) which relates to procedural matters which are not relevant) reads:

"17.(1) Where any persons agree in writing that any difference between them shall be referred to arbitration, the parties to the agreement, or any of them, may apply to any court having jurisdiction in the matter to which the agreement relates, that the agreement be filed in court.

. . . .

"(3) On such application being made, the court shall direct notice thereof to be given to all the parties to the agreement, other than the applicants, requiring such parties to show cause, within the time specified in the notice, why the agreement should not be filed.

"(4) Where no sufficient cause is shown, the court shall order the agreement to be filed, and shall make an order of reference to the arbitrator appointed in accordance with the provisions of the agreement or, if there is no such provision and the parties cannot agree, the court may appoint an arbitrator."

It may be noted that under s. 4 the court "may" make an order if satisfied that there is no sufficient reason why the matter should not be referred in accordance with the submission, while under para. 17

(4) the court "shall" order the

agreement to be filed where no sufficient cause is shown. This seems to indicate that the court under s. 4 possesses a discretion which does not exist under para. 17. But I think that in fact there is little practical difference between the powers of the court under the respective provisions. In *Heyman's* case (1), Lord Wright (at p. 388 of the report) described the position under s. 4 as follows:

"Section 4 of the Arbitration Act, 1889, makes the power of the court to stay an action under the arbitration clause a matter of discretion and not ex debito justitiae. Though the dispute is clearly within the arbitration clause, the court 'may' still refuse to stay if, on the whole, that appears to be the better course. But the court must be satisfied on good grounds that it ought not to stay. The onus of thus satisfying the court is on the person opposing the stay, because in a sense he is seeking to get out of his contract to refer, though in truth an arbitration clause is not of strict obligation. because it is, under s. 4, always subject to the discretion of the court."

I stress the words "But the court must be satisfied on good grounds that it ought not to stay". Similarly, if good grounds are shown why an order of reference should not be made under para. 17 of the Second Schedule, the court has jurisdiction to refuse to make the order. In either case the onus is on the party resisting the reference to arbitration to satisfy the court. So far as the instant case is concerned, I think the effect of the respective provisions is sufficiently similar for the English authorities to provide a useful guide. It is to be noted further that there is a distinction between the question whether an arbitration clause applies at all, and the question whether the court should exercise its discretion under s. 4 of the Arbitration Act, 1889. In *Heyman's* case (1) (at p. 368 of the report) Viscount Simon, L.C., said:

"Secondly, what I have endeavoured to formulate in this summary is concerned solely with the question whether or not an arbitration clause applies. It has nothing to do with the further and quite distinct question whether, where an action is started in the English courts about a dispute which is within the scope of an arbitration clause, the action should be stayed at its inception under s. 4 of the Arbitration Act, 1889. The principles which should govern the exercise of judicial discretion on this matter have often been laid down and are well understood."

In the instant case one of the grounds of appeal urged on the court was that the arbitration clause did not apply. On this aspect there does not appear to be any difference between the law in England and the law in Tanganyika, and the English authorities are therefore applicable.

Four paragraphs are set out in the memorandum of appeal, but, as Mr. Dodd, who appeared for the insurance company stated, these cover two main grounds of appeal, which are:

(*a*) that whether or not a contract existed at the material time (which was contested by the insurance company), unless such contract was enforceable under the Code of Civil Procedure or in law, then an application to file an agreement for reference to arbitration must fail; and

(*b*) that there was no contract or agreement between the parties to arbitrate anything on February 16,1959.

The argument advanced under (*a*) was that the application showed on its face that it was out of time under the limitation provisions contained in condition 16 of the policy of insurance, and that in such circumstances it was clearly a waste of time for the arbitration to proceed, and the court ought not to allow

it to do so. It will be noted that this ground of appeal is substantially the same as the second issue which was framed before the learned magistrate. The learned magistrate did not deal with this issue, and the learned judge dismissed it with the words "He", i.e. the learned resident magistrate

"was invited in the second issue to deal with matters which did not fall to be considered by him, but which the parties had agreed to refer to arbitration".

Considerable argument was addressed to us as to whether the assured's claim was in fact barred by limitation. The answer to this question depends on the answers to two questions, namely (*a*) whether condition 16 of the policy is valid in view of the provisions of s. 28 of the Indian Contract Act; and (*b*) if so, whether the letter written by the assured on January 11, 1960, invoking the arbitration clause and suggesting the name of an arbitrator was such a step as made the claim "the subject of pending . . . arbitration". It was urged that these were purely legal questions which the court ought to answer instead of referring the matter to arbitration.

It is clearly established that in the case of an application for a stay under s. 4 of the Arbitration Act, 1889, or s. 4 (1) of the Arbitration Act, 1950, the mere fact that the point for decision is a pure question of law is not necessarily a sufficient reason for refusing a stay (*Heyman v. Darwins Ltd.* (1)); *Re Phoenix Trading Co. Ltd.*'*s Application* (2), [1958] 1 All E.R. 815. In the latter case Lord Evershed, M.R., said, at p. 818 applying *Heyman*'*s* case (1):

"It must, therefore, be taken that in a case under s. 4 of the Arbitration Act, 1950, the mere fact that the dispute is of a nature eminently suitable for trial in court is not a sufficient ground for refusing to give effect to what the parties have by contract agreed."

I think similar principles apply to an application under para. 17 of the Second Schedule.

In the instant case it is to be noted that the limitation relied on by the insurance company is prescribed in the policy itself. I express no view as to whether or not the position would be different if the limitation relied on were that prescribed by law, that is to say, by the Limitation Act. But so far as the instant case is concerned the dispute as to whether the limitation prescribed by condition 16 of the policy applies could hardly be more clearly a "difference arising out of" the policy, and so a matter which the parties have agreed to submit to arbitration; such a submission being under condition 15, a condition precedent to any liability of the insurance company. The only reason suggested why the matter should be determined by the court is that it is a matter of law which is more suitable for determination by the court. But in my view, following *Heyman*'*s* case (1), and the *Phoenix Trading Co.* case (2), this is not a sufficient reason for refusing to make an order of reference under para. 17 of the Second Schedule. I think, accordingly, that the first ground of appeal argued should fail.

The second ground argued is substantially the question considered by the courts below and determined in favour of the insurance company by the learned resident magistrate, and in favour of the assured by the learned judge of the High Court. The contention of the insurance company simply is that the dispute does not fall within the arbitration clause at all since the policy, including the arbitration clause, was not in force at the material time. It is clear from *Heyman*'*s* case (1), that there is no inherent objection to parties agreeing to submit to arbitration the question whether or not an alleged contract between them is effective. Lord Wright said (at p. 384 and p. 385 of the report):

"Nor are the appellants helped by the rule that, generally speaking, a

dispute whether the contract ever existed, as contrasted with the question whether it has been ended, is not within the usual form of submission of differences arising out of the contract or the like, because, if there was never a contract at all, there could never be disputes arising out of it. Ex nihilo nil fit. It is all a question of the scope of the submission. Hence, if the question is whether the alleged contract was void for illegality, or, being voidable, was avoided because induced by fraud or misrepresentation, or on the ground of mistake, it depends on the terms of the submission whether the dispute falls within the arbitrator's jurisdiction.

. . . .

Two recent cases in the Court of Appeal illustrate the principle laid down in *Woodall v. Pearl Assurance Co. Ltd.*, [1919] 1 K.B. 593, that a denial of liability based on the express terms of the contract is in general different in its effect on the ordinary arbitration clause from a denial that there was ever a contract at all. These cases are *Golding v. London and Edinburgh Insurance Co. Ltd*. (1932), 43 L1. L. Rep. 487, and *Stevens & Sons v. Timber and General Mutual Accident Insurance Association Ltd.* (1933), 102 L.J. (K.B.) 337, 344, 345. In the latter case, it was observed by Romer, L.J., that an arbitrator could not arbitrate on the rightfulness of a repudiation because if he held that the repudiation was not justified, but the rescission was justified, he would be awarding that the contract was gone and making an award against the existence of his own jurisdiction. I should prefer to put it that the existence of his jurisdiction in this, as in other cases, is to be determined by the words of the submission. I see no objection to a submission of the question whether there ever was a contract at all, or whether if there was, it had been avoided or ended. Parties may submit to arbitration any or almost any question. But in general the submission is limited to questions arising on or under or out of a contract which would, prima facie, include questions whether it has been ended, and if so, whether damages are recoverable, and if recoverable what is the amount."

At p. 392 of the report Lord Porter said:

"Meanwhile, I think it essential to remember that the question whether a given dispute comes within the provisions of an arbitration clause or not primarily depends on the terms of the clause itself. If two parties purport to enter into a contract and a dispute arises whether they have done so or not, or whether the alleged contract is binding on them, I see no reason why they should not submit that dispute to arbitration. Equally, I see no reason why, if at the time when they purport to make the contract they foresee the possibility of such a dispute arising, they should not provide in the contract itself for the submission to arbitration of a dispute whether the contract ever bound them or continues to do so. They might, for instance, stipulate that, if a dispute should arise whether there had been such fraud, misrepresentation or concealment in the negotiations between them as to make an apparent contract voidable, that dispute should be submitted to arbitration. It may require very clear language to effect this result, and it may be true to say that such a contract is really collateral to the agreement supposed to have been made, but I do not see why it should not be done."

At p. 360 of the *Heyman's* case (1), Viscount Simon, L.C., said:

"The answer to the question whether a dispute falls within an arbitration clause in a contract must depend on (*a*) what is the dispute and (*b*) what disputes the arbitration clause covers."

The other judgments are to the same effect. What then is the dispute in the

instant case? The arbitration clause is a very wide one. It covers "all differences arising out of this policy". At p. 399 of *Heyman's case* (1), Lord Porter remarked that the expression "arising out of" has a wider meaning than the word "under". On the basis of *Heyman's case* (1), I would agree with the learned judge that where a claim is made under a contract which contains an arbitration clause such as the one in the instant case, and the answer depends on a decision as to the precise time of commencement on a construction of the contract, that would be a matter for the arbitrator to decide. If the claim is a claim under the contract which contains the arbitration clause, I can see no distinction between a dispute as to the time of commencement and a dispute as to the time of termination. But is the claim in the instant case a claim under the contract which contains the arbitration clause? In my opinion in substance it is not. The learned judge treated the proposal, correspondence and policy as together constituting the contract between the parties. He said

"There can be no dispute that the proposal of January 3, 1959, the letters of January 14, and February 13 and the policy issued on February 17, resulted in a binding contract of insurance being made between the parties."

This, in fact, appears to have been the basis upon which the argument before him proceeded. But, with respect, I think it is a false approach. In contracts of insurance the policy is the contractual document (Halsbury's Laws of England, 3rd Edn., Vol. 22, p. 216). At p. 217 of the same volume of Halsbury the learned author says:

"Where the policy as issued does not correctly embody a contract previously agreed between the parties, either party may apply for rectification of the policy. Rectification will only be granted on the strongest evidence of mutual mistake. Rectification can be claimed even after a loss has been suffered. In order that rectification may be obtained, it must be shown that there was in fact a prior agreement between the parties differing from that purporting to be embodied in the policy;".

In *British Equitable Assurance Co. Ltd. v. Baily* (3), [1906] A.C. 35 at p. 41 Lord Lindley said, in reference to policies of life assurance:

"My lords, if these gentlemen were seeking to rescind or rectify their contracts on the ground of fraud or mistake, or were suing for damages occasioned by fraudulent misrepresentation, it would be legitimate to refer to the statements in the prospectuses on the faith of which they became policy-holders. But the complaining policy-holders are not doing anything of the sort, and the prospectuses, not being referred to in the policies, cannot, in my opinion, be legitimately referred to in order to construe the contracts into which the policy-holders have been induced to enter. These contracts are to be found in the policies themselves."

In *Griffiths v. Fleming* (4), [1909] 1 K.B. 805 at p. 817 Farwell, L.J., in the course of a judgment read and concurred in by Kennedy, L.J., said:

"The proposals have been put in and used by both sides, and, although they could not be used in an action on the policy in order to construe the policy, they could, of course, be used in an action to rectify, and both parties desire to have their rights ascertained irrespective of the form of action."

Again Scott, L.J., in *Sun Life Assurance Co. of Canada v. Jervis* (5), [1943] 2 All E.R. 425 at p. 428, said:

"There are two main issues in this case: (i) whether there was a contract of insurance made by the documents passing between the parties before the issue of the policy, under which the plaintiff was entitled to have a

policy conferring rights more beneficial to him than those provided in the policy sent to him in December, 1929, and (ii) whether the interpretation of that antecedent contract submitted on behalf of the plaintiff was correct. If both questions are to be answered in his favour, it is not disputed that he is entitled to rectification of the policy so as to make it conform with the contract."

The policy in the instant case incorporates the proposal signed by the assured but does not refer to any other documents. It may be that the proposal together with the correspondence passing between the insurance company and the assured constitutes a binding preliminary contract of insurance between them, and that the policy issued was not in accordance with the terms of that preliminary contract. If this is so it may entitle the assured to have the policy rectified; or even to succeed on a claim based on the preliminary contract without express rectification (*Wood v. Dwarris* (6) (1856), 11 Exch. 493; 156 E.R. 925). But such a claim is not a claim under the contract contained in the policy. The distinction appears to me important when the arbitration clause is under consideration. An arbitrator would be bound by the plain terms of the policy unless and until there has been rectification; and a dispute as to whether or not there should be rectification is not a "claim under the policy". This approach is, I think, the basis of the decision in *Toller v. Law Accident Insurance Society Ltd* (7), [1936] 2 All E.R. 952. That case was not referred to in either of the courts below, but Mr. Thornton, who appeared for the assured, very properly drew our attention to the case, though contending that it could not now be regarded as authoritative in view of *Heyman's* case (1). *Toller's* case (7), was a decision of the English Court of Appeal on an application for a stay of proceedings under s. 4 of the Arbitration Act, 1889, and the facts bear a considerable resemblance to the facts in the instant case, the arbitration clause in the two cases being in identical terms. Greene, L.J., stated the facts in the course of his judgment as follows:

"The facts are quite short and simple. The plaintiff, in August, 1935, had a current policy, in relation to a Lancia motor-car, issued by the defendants. That car, in the middle of August, he decided to sell, and he decided to purchase a Morris car in place of it. Now an arrangement was made between the plaintiff and the defendants under which the plaintiff was to receive an allowance of, I think, £4 17s. 0*d*., off the price of the new policy. The plaintiff did not pay to the defendants the balance, and it is admitted that the defendants, the insurers, issued to him cover notes; and there were three of those. The first one lasted until the end of August; the second one was for fourteen days from August 31, and the third one was issued on September 16. After the expiration of the third cover note, namely, on October 2, when there was no cover note applicable, an accident took place, involving the plaintiff in certain liabilities which it is not necessary to go into. The company, on November 16, 1935, issued a policy dated as from October 29, 1935, that apparently being the date when the plaintiff paid up the balance of the premium. If the company's only obligation was to issue a policy dated as beginning on October 29, it follows that at the date of the accident they were not then liable to the plaintiff at all. On the other hand, the plaintiff complains that the defendant company had agreed to issue to him a policy which would have been in force on October 2, when the accident took place and so entitle the plaintiff to claim under it."

The plaintiff by his writ claimed, inter alia, a declaration that a binding contract of insurance existed on October 2, 1935, and an order directing the defendants to issue to the plaintiff a full comprehensive policy valid for twelve months

and dated August 15, 1935. The Court of Appeal held that the defendants, who were denying the existence of the contract at the material date, were not entitled to a stay under s. 4 of the Arbitration Act, 1889. Greene, L.J., in the course of his judgment, with which Scott, L.J., agreed, said:

"The issue between the parties on that branch of the case is a perfectly simple one: the plaintiff alleging and the defendants denying the existence of a contract of insurance as on October 2, with a consequential obligation on the part of the defendants to issue a proper policy in the usual terms. Looking for the moment at that issue and that alone, it is said by Mr. Soskice that that is a matter which can be properly referred to arbitration under an arbitration clause which the policy, if and when it was issued, would contain. Now, that clause is set out in para. 5 of the affidavit of Mr. Parsons sworn on this application on May 20, and it provides for the submission to arbitration of 'All differences arising out of this policy'. Now, the position being one in which the plaintiff is asserting and the defendants denying the existence of any contract of insurance at the relevant date, and in which the plaintiff is asserting and the defendants are denying the right of the plaintiff to receive a policy issued by the company retrospective to that date and before it, this result follows: if the defendants are right there is in existence with regard to the relevant period, no contract of insurance whatsoever. It is said, nevertheless, that the issue whether or not such a contract was or was not in existence falls within the arbitration clause. With the greatest respect to the very careful argument of Mr. Soskice, I am quite unable to accept that view. It appears to me that it can be put in this way: if the arbitrator (assuming it was referred to him) found there was no contract in existence at all and no right to sue on the policy as at that date, he would be deciding that the very arbitration clause which founded his jurisdiction never existed and therefore he never could have had any jurisdiction to deal with that matter."

It is, I think, clear from this passage that the claim in *Toller* (7), was dealt with, not on the basis of a claim arising out of the policy of insurance which contained the arbitration clause, but on the basis of a dispute as to the existence of a preliminary contract of insurance which might entitle the plaintiff to rectification of the policy which had been issued. The dispute, therefore, was as to the existence of a contract, and not as to the validity of a claim under an admitted contract. On this basis there is no conflict between *Toller*'*s* case (7), and *Heyman*'*s* case (1), and, in fact, *Toller*'*s* case (7), was mentioned in Heyman's case (1), with apparent approval by both Lord Wright and Lord Porter. I can see no distinction between the instant case and *Toller*'*s* case (7). The claim in the instant case is not a claim under the contractual document, the policy, but is a claim under what is alleged to have been the preliminary contract. The proper remedy would be a suit for rectification of the contract, though a court, in its equitable jurisdiction, might dispense with the formality of a specific prayer for rectification in considering the claim (*Wood v. Dwarris* (6)). That, however, does not alter the fact that the dispute here is essentially one of rectification, depending on the existence of the alleged preliminary contract; and the submission contained in the policy does not extend to a dispute as to rectification of the terms of the policy. In my opinion, therefore, though for different reasons, the order made by the learned resident magistrate was correct.

I would allow the appeal with costs, set aside the judgment and decree of the High Court, and order that the decree of the district court be restored. The appellant should have his costs of the appeal to the High Court.

Sir Ronald Sinclair P: I agree with the reasoning and conclusions of the learned Vice-President and have nothing to add. There will be an order in the terms proposed by him.

Crawshaw JA: I agree with the order proposed by the Honourable Vice-President. *In Toller v. Law Accident Insurance Society Ltd*. (7), the assured (the plaintiff) claimed that by reason of events which had happened a contract of insurance existed at the time of the accident, October 2, 1935, which entitled him to a policy valid on that date, which would include the usual arbitration clause. The assured issued a writ asking for a declaration to that effect, and an order that the policy be issued, and damages for breach of contract. The policy had in fact been issued dated October 29, 1935, and the insurance company (the defendant) asked for a stay of the action on the ground that the issue as to when the policy was to commence fell within the arbitration clause in the policy. The *Toller* case (7) is, I think, indistinguishable with the instant case except as to the form of the order asked for, and that whereas in that case it was the insurance company which asked for a stay for reference to arbitration, in the instant case the insurance company maintains that the arbitration clause does not apply and that it is the assured (the plaintiff) which asks for the submission to be filed. In *Heyman v. Darwins Ltd*. (1), the *Toller* case (7), is referred to with apparent approval. The editorial note to the *Toller* case (7), correctly, I think, expresses the effect of that decision in saying,

"In the present case the contract which was to contain the arbitration clause was the policy itself and a contract to issue a policy would not contain an arbitration clause. Therefore, until the policy was issued there would be no effective arbitration clause though it might be averred that there was a contract to enter into the contract of insurance, i.e. the policy".

The same principles would no doubt have applied had the prayer been for rectification of the policy. The *Toller* case (7), was decided on the argument whether or not an arbitration clause in a policy could be invoked where the existence of the policy was in dispute. The same argument was substantially before the courts below and before us in the instant case. In the *Heyman* case (1), on the other hand, the dispute was whether liability under a policy had come to an end, and the question before the court was whether the arbitration clause in the policy could be invoked to decide that dispute.

Law, J., in the instant case, reversing the decision of the magistrate and ordering that the agreement to refer to arbitration be filed, quoted the following passage from Lord Macmillan's judgment in *Heyman*'*s* case (1), p. 371,

"If a question arises whether the contract has for any such reason come to an end I can see no reason why the arbitrator should not decide that question".

Law, J., then went on to say,

"By the same token, I do not see why the arbitrator should not decide the question whether the contract had come into existence on a particular day".

Earlier in the same paragraph, however, Lord Macmillan said:

"I may clear the ground by disposing of one or two simple cases. If it appears that there has ever (never?) been a binding contract between the parties, such a dispute cannot be covered by an arbitration clause in the challenged contract. If there has never been a contract at all, there has never been as part of it an agreement to arbitrate."

This is one of the "cases" disposed of by Lord Macmillan; that quoted by LAW, J., is another of the cases, and with respect I think Lord Macmillan is distinguishing them. Viscount Simon at p. 366 makes similar observations. Lord Wright at p. 384 said:

"Nor are the appellants helped by the rule that, generally speaking, a dispute whether the contract ever existed, as contrasted with the question whether it has been ended, is not within the usual form of submission of differences arising out of the contract or the like, because, if there was never a contract at all, there could never be disputes arising out of it. Ex nihilo nil fit. It is all a question of the scope of the submission."

Now as I read the quotation from Lord Wright's judgment (I think Lord Macmillan and Viscount Simon are in effect saying the same thing) he has in mind a contract containing an arbitration clause and is contrasting two possible disputes relating thereto (the two "cases" I have just quoted from Lord Macmillan's judgment): one a dispute as to whether the contract ever existed and the other whether it has come to an end. As to the former it might be contended that the contract was void for illegality or that the parties were not ad idem (e.g. as to the date of its commencement). It might also be contended, as I see it, that at the relevant time – in the instant case the date of the burglary and in the *Toller* case (7), the date of the accident – no contract had ever existed. In fact that was precisely what was contended in both cases, Greene, L.J., saying in the *Toller* case (7),

"the issue between the parties on that branch of the case is a perfectly simple one; the plaintiff alleging and the defendant denying the existence of a contract of insurance as on October 2."

It was following that, that Greene, L.J., went on to say,

"if the defendants are right there is in existence with regard to the relevant period, no contract of insurance whatsoever"

and that this was not a matter which the arbitrator could decide for if he

"found that there was no contract in existence at all and no right to sue on the policy as at that date",

he would be deciding that he had no jurisdiction to deal with the matter.

Lord Porter at p. 392 of the *Heyman* case (1), said:

"Meanwhile, I think it essential to remember that the question whether a given dispute comes within the provisions of an arbitration clause or not primarily depends on the terms of the clause itself. If two parties purport to enter into a contract and a dispute arises whether they have done so or not, or whether the alleged contract is binding on them, I see no reason why they should not submit that dispute to arbitration. Equally I see no reason why, if at the time when they purport to make the contract they foresee the possibility of such a dispute arising, they should not provide in the contract itself for the submission to arbitration of a dispute whether the contract ever bound them or continues to do so."

As I read this passage Lord Porter is saying that if a dispute arises as to whether, for instance, a purported contract was ever entered into, the dispute may go to arbitration if the contract contains a clause in clear terms providing for arbitration in such circumstances; or, if there is no such clause in the contract, the parties otherwise agree to "submit that dispute to arbitration". In the instant case and in the *Toller* case (7), the arbitration clauses, wide as they were, do not cover such disputes.

As in the *Toller* case (7), the first question to be decided in the dispute which has arisen in the instant case is whether there was a contract of insurance at the relevant date, and indeed that is the very question which the assured expressly says in his application is the matter he requires to be decided. As I read the authorities this is not a matter which can be decided under the arbitration clause. This being so, the appellant did, I think, show good cause why the agreement should not be filed.

Appeal allowed. Judgment and decree of the High Court set aside and decree of the district court restored.

For the appellant:
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H. G. Dodd

For the respondent:
Fraser Murray, *Thornton & Co*., Dar-es-Salaam
R. S. Thornton